EXECUTIVE SUMMARY

1. Introduction

The Municipality of Abulug lies along the northwestern part of the province of Cagayan. Tulug, the original name of Abulug had been a flourishing fishing village long before Don Juan Salcedo sailed to the mouth of Abulug River in 1572. In 1969, the name ""Tulug"" was changed into Abulug including two barangays of Fotol and Capinatan. Abulug has a total land area of 19,969 hectares or 199.69 square meters representing 2.22% of the total area of the province.

The audit covered the accounts and operations of the Municipality of Abulug for the year 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, Compliance and Performance Audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2018, were P374,929,110.19, 114,169,039.03 and 260,760,071.16, with an increase of 30.44%, 9.16% and 42.61% respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P118,939,219.38 and 103,478,476.80, which increase by 8.77% and 21.94% respectively from last year's figures.

Particulars	2018	2017	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	P374,929,110.19	P287,437,514.29	87,491,595.90	30.44%
Liabilities	114,169,039.03	104,589,719.73	9,579,319.30	9.16%
Government Equity	260,760,071.16	182,847,794.56	77,912,276.60	42.61%
Financial Performance				
Income	P118,939,219.38	P109,352,305.39	9,586,913.99	8.77%
Expenses	103,478,476.80	84,862,566.86	18,615,909.94	21.94%
Appropriations, Allotments and Obligations				
Appropriations	P159,783,912.97	P124,082,288.52	35,701,624.45	28.77%
Allotments	159,544,129.64	117,824,697.83	41,719,431.81	35.41%
Obligations	127,566,834.16	101,904,127.68	25,662,706.48	25.18%

3. Independent Auditor's Report on the Financial Statements

We rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Abulug, Cagayan as at December 31, 2018.

4. Summary of Significant Audit Observations and Recommendations

The findings and recommendations were discussed with LGU officials and employees. Management comments were incorporated in the report, where appropriate. The significant findings and recommendations are as follows:

1. **Accounting and reporting guidelines on local roads asset management embodied in COA Circular No. 2015-008 were not strictly observed by concerned departments, thus the correctness of the balance of Road Networks account of P99,671,800.25 as of December 31, 2018 could not be ascertained.**

   To fairly present the book value of the Road Networks account in the Financial Statements of the Municipality, we recommended that the Municipal Mayor direct the:

   1. GSO and the Municipal Engineer to conduct the physical inventory on the Local Road Network to come up with the Inventory Report on the Local Road Network.

   2. GSO and the Municipal Engineer to evaluate the Local Road Inventory Report and reconcile with the accounting records to facilitate the reporting of the municipality's road network system;

   3. Municipal Accountant to adjust in the books the discrepancies noted;

   4. Municipal Engineer to provide the Municipal Accountant and the GSO-Designate with the complete description and cost segregation of the road components for road project.

2. **The Municipality of Abulug engaged the services of 104 job order workers and paid the amount of P8,383,281.15 with an average monthly wages amounting to P699,440.10 for CY 2018 to carry out functions supposedly of regular/casual employees, thus, may not be economical and efficient considering the possible risks involved due to absence of accountability and hold over of said workers. Likewise, there was no**

clear and written program, policy guidelines in hiring or engaging the services of job order employees, which may result in excessive workforce, work duplication and eventual waste of financial resources.

We recommended that Management revisit its staffing pattern. In this regard, the LGU may consider filling in some of its vacant plantilla positions and reduce the number of job order workers, thus, establish more accountability at work. On the other hand, formulate a Program/Policy Guidelines in the hiring of job order personnel, taking into consideration the necessity of hiring and the reasonable number of job order employees to be assigned in the different offices in order to avoid excessive manpower and work duplication.

3. **The municipality could have earned additional income the from Public Market, Libertad, Abulug, Cagayan by as much as P1,932,000.00 had its operation been maximized.**

   For the above observations, we recommended the following courses of actions:

   1. That the operations of the market should be thoroughly studied, and for management to determine the best alternative step in order to recoup the investment of the Municipality at the earliest possible time. The existing market committee to include among its functions the evaluation of the present financial and operating status of the public market and to recommend measures for the early recoupment of the investment of the Municipality.

   2. Management should come up with strategies on intensive marketing and promotional activities to have all the spaces rented out and to maximize income.

4. **Several fund transfers from national government agencies and local government units amounting to P18,622,166.25 and P13,660,316.99, respectively, for different projects and programs implemented by the Municipality were not returned to the source agencies, despite completion, or had remained unutilized contrary to Section 4 of COA Circular No. 94-013 dated December 13, 1994 and Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012.**

   We recommended that Management instruct the Municipal Accountant to:

1. Cause the immediate full liquidation of outstanding fund transfers received from National Government Agencies and other Local Government Units and strictly adhere with the provisions of Section 4 of COA Circular No. 94-013 dated December 13, 1994 and Section 3.1.2 of COA Circular No. 2012-001 dated June 14, 2012; and

2. Collate records to ensure that all unspent balances of fund transfers for completed projects irrespective of source agency be returned.

3. Fast track the implementation of the fund transfers since the resources are readily available, and in order not to deprive the Municipality of the PPAs where the funds are intended for.

4. Record/Reclassify the accounts to their appropriate classification for fair presentation in the Financial Statements.

5. Collections were not deposited intact with the authorized depository bank resulting in undeposited Cash in Treasury balance of P1,029,733.30 as of November 13, 2018, contrary to Section 33 Chapter 2 of the COA Memorandum No. 2013-004 dated July 9, 2013 and Section 69 (1) Chapter 3, Title II of P.D. 1445.

We recommended that the Municipal Treasurer deposit intact and regularly her collections of revenues and receipts pursuant to existing regulations to avoid possible loss, misuse or misappropriation of the government funds and establish proper safeguards thereon.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	P556,501.93		84,610.69	471,891.24	
Current Year	-	-	-	-	-

Total	**P556,501.93**			**471,891.24**	
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the seven (7) audit recommendations embodied in the previous Annual Audit Report, three (3) were fully implemented, two (2) were partially implemented and the remaining two (2) were not implemented.